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BRANDED JEWELLERY WAS a novelty in 1994, when Titan launched the Tanishq jewellery range, nearly a decade after captivating India's market with quartz analogue wristwatches and unwinding the monopoly of 'Timekeeper to the Nation' HMT. Today, 30 years later, Titan's branded jewellery division fetches nearly 90% of its revenue.

Titan's gold and jewellery division is growing at a pace that most of its peers in the consumer discretionary market would love to replicate. Although the Covid-19 pandemic's lockdowns and supply disruptions in 2020 hit demand for consumer discretionary items, Titan reported high double-digit growth in its topline. Between FY21 and FY24, Titan's revenue grew at a compound annual growth rate of 33.14%, from ₹21,644 crore to ₹51,084 crore. In the same period, its profit after

tax grew at a CAGR of 53.11%, from ₹974 crore to ₹3,496 crore.

At the heart of this growth story was gold, or its jewellery division, to be precise. Net jewellery sales—revenue collected at the counters minus GST, other taxes and dealer commissions—grew at a 26% CAGR between FY20 and FY24, from ₹16,738 crore to ₹42,172 crore. (Titan has not given up on watches, which have been looking up since the Covid-19 lockdown. More on it later.)

Titan's growth story has made it the crown jewel in the diversified Tata Group, but it is not sitting pretty. The key business divisions have been given ambitious targets. One is to double the overall retail value of its products or uniform consumer price (UCP) to ₹1 lakh crore by FY27.

Titan reckons it can do this by doubling the UCP of its jewellery division (which was ₹45,000 crore in FY24), increasing the UCP of its watches & wearables division by ₹4,000 crore (₹6,000 crore last year), that of Taneira branded sarees to ₹1,000 crore (₹250 crore) and Titan Eye+ (eyecare) to ₹2,000 crore (₹1,000 crore in 2024).

Alpana Parida, a brand consultant and Founder of Tiivra Ventures, says trust in the Tata name has driven Titan's success in jewellery. Trust and timing. "Titan ventured into the jewellery market at the right time, when our econ-

“Due to the sheer scale of the jewellery business, it is natural that its share has increased... what is more important for us is gaining consumer market share in each category we are present”

C.K. VENKATARAMAN
MANAGING DIRECTOR, TITAN COMPANY

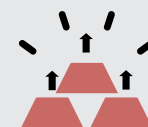
A GOLDEN OPPORTUNITY



Leaving the pandemic-induced disruptions behind, Titan scaled up its business rapidly to the ₹50,000-crore level in FY24



While a steady rise in gold prices aided its growth, it has recently impacted sales, driving away consumers



Post-Covid, Titan's dependence on gold and jewellery has grown further. Now they account for about 90% of its revenue



It is looking at a massive retail and portfolio expansion and premiumisation to attain ₹1 lakh crore in sales



Apart from increasing watch sales to over ₹10,000 crore, it will need to double jewellery sales to meet its target